

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SOUTHERN INTERNATIONAL CO., LTD., *Complainant*

v.

DAYNAMEZ GROUP OF COMPANIES LLC, *Respondent*.

DOCKET NO. 25-24

Served September 29, 2026

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON RESPONDENT’S LATE FILED RESPONSES TO SECOND REQUESTS FOR ADMISSIONS

This matter came on, sua sponte, to address Respondent’s failure to timely respond to Complainant’s Second Requests for Admission Nos. 25-110. In the Order on Complainant’s Second Motion to Compel Discovery served August 27, 2026, Respondent was directed to show cause no later than September 8, 2026, why Complainant’s second requests for admission should not be deemed admitted for failure to timely respond. (Dkt. 54.) On September 14, 2026, Respondent filed a Notice to Proceeding attaching copies of proposed amended responses to request for admission served upon Complainant on September 8, 2026. (Dkt. 56.) On September 18, 2026, Complainant Southern International Co., Ltd.’s Opposition to Respondent’s September 14, 2026 Notification to the Proceeding (Dkt. 56) Regarding Deemed Admissions Under 46 C.F.R. § 502.147 was filed. (Dkt. 57).

Upon consideration of the record, Respondent’s notice, and Complainant’s opposition, I find for the reasons set forth below that Respondent’s deemed admissions are **WITHDRAWN**, Respondent is permitted to serve amended responses to Complainant’s second requests for admission Nos. 25-110, and Respondent’s amended responses attached to the Notice of Proceeding filed September 14, 2026, and served September 8, 2026, are **ALLOWED**, and the show cause order contained in Complainant’s Second Motion to Compel Discovery served August 27, 2026, is **DISCHARGED**.

I. Background.

On January 23, 2026, Complaint filed a second amended complaint and exhibits alleging Respondent violated 46 U.S.C. §§ 40901, 40902, and 41102(c). Complainant alleges these violations arose from Respondent’s operating as a non-vessel-operating common carrier without a license, failure to remit payment to relevant carriers for the shipment of 558 containers contracted by Complainant, repeated misappropriation of funds, and other acts or omission by Respondent. (Dkt. 18.)

On March 27, 2023, Respondent filed an answer and counterclaim. Respondent's answer denies the claims alleged in the amended complaint and asserts affirmative defenses. Respondent's counterclaim includes two counts: Count I - indemnification and hold harmless, and violation of 46 U.S.C. § 41102(a) for not maintaining proper practices relating to the handling and receiving of cargo due to its failure to properly handle the cargo by letting it become abandoned; and Count II - breach of contract for failure to pay Daymanez and violation of 46 U.S.C. § 41102(a). (Dkt. 24.)

Complainant served Respondent with second requests for admission Nos. 25-110 on July 14, 2026. Respondent did not timely respond. After a good faith effort to resolve the dispute failed, Complainant filed Complainant Southern International Co., Ltd.'s Expedited Motion to Compel Responses to Second Written Discovery and for Limited Related Relief on August 18, 2026, arguing among other things, that Respondent's responses were deemed admitted pursuant to 46 C.F.R. § 502.147(a)(3) unless the presiding officer permits withdrawal or amendment pursuant to 46 C.F.R. § 502.147(b). (Motion to Compel Second Written Discovery, Dkt. 51, at 4.)

Pursuant to the Order on Complainant's Motion to Compel Discovery served August 27, 2026, Respondent was directed, among other things, to show cause no later than September 8, 2026, as to why Complainant's second requests for admission attached as Exhibit C to Complainant's motion to compel should not be deemed admitted for failure to timely respond. (Dkt. 54, at 7.)

Respondent responded to the order to show cause on September 14, 2026, by filing a Notification to the Proceeding with responses attached that were signed by Respondent's counsel. (Dkt. 56.) The notice states that detailed responses were served on September 8, 2026, and attached a copy of the responses with a request that they be accepted in lieu of the deemed admissions. Although not framed as a motion, the notice appears to have been intended to request entry of an order withdrawing the deemed admissions and permitting amendment pursuant to 46 C.F.R. § 502.147(b), and shall be treated as such for purposes of judicial efficiency.¹

On September 18, 2026, Complainant filed Complainant Southern International Co., Ltd.'s Opposition to Respondent's September 14, 2026 Notification to the Proceeding (Dkt. 56) Regarding Deemed Admissions under 46 C.F.R. 502.147. (Dkt. 57.) Complainant states that it "does not object to the Presiding Officer considering the September 8, responses; it objects to treating them as automatically waived by Dkt. 54, including rule 502.102(b) if Dkt. 56 is treated as a request to accept late show-cause compliance and rule 502.147(b) if it is treated as a request to withdraw or amend admissions." (Opposition at 1.) Thus, Complainant argues that the responses Complainant served September 8, 2026, should not be permitted to serve as amended responses in the event I decide to waive the deemed admissions arising automatically

¹ I find that this action is appropriate despite Respondent's failure to confer in advance of filing a motion in accordance with 46 C.F.R. § 502.71(a). The record demonstrates that the parties have consistently been unable to resolve disputes between themselves despite engaging in a good faith discussions. Additionally, Complainant's opposition demonstrates that any good faith discussion would have been futile.

pursuant to 46 C.F.R. §§ 502.147(a)(3) and 502.147(b) due to Respondent's failure to timely respond.

II. Relevant Law

46 C.F.R. § 502.147(a)(3) provides that matters are deemed admitted when a party fails to respond to a request for admission within 30 days. It states in pertinent part:

Time to respond: effect of failure to respond. A matter is admitted unless, within 30 days after being served, the party to whom the request is directed serves on the requesting party a written answer or objection addressed to the matter and signed by the party or its attorney.

46 C.F.R. § 502.147(b) provides that a matter is conclusively established under this rule unless the presiding officer, on motion, permits the admission to be withdrawn or amended. It states in pertinent part:

Effect of admission; withdrawal or amendment of admission. A matter admitted under this rule is conclusively established unless the presiding officer, on motion, permits the admission to be withdrawn or amended. The presiding officer may permit withdrawal or amendment if it would promote the presentation of the merits of the action and if the presiding officer is not persuaded that it would prejudice the requesting party in maintaining or defending the action on the merits. An admission under this rule is not an admission for any other purpose and cannot be used against a party in any other proceeding.

III. Discussion

The Commission Rules regarding the impact of the failure to timely respond to requests for admission and the withdrawal and amendment of deemed admissions mirror those found in FED. R. CIV. P. 36(a)(3) and FED. R. CIV. P. 36(b). For this reason, it is appropriate to look to federal case law interpreting FED. R. CIV. P. 36 for guidance on when a party should be permitted to withdraw and/or amend deemed admissions.

Pursuant to FED. R. CIV. P. 36(b), a court has the power to make exceptions to the rule that a matter is conclusively established when no timely response is served only when (1) the presentation of the merits will be aided and (2) no prejudice to the party obtaining the admission will result. No requirement exists that the party seeking an exception show that its delay was due to excusable neglect. *Mejia v. Cathedral Lane LLC*, 2022 WL 1211187 at *5 (D.D.C. April 25, 2022) (quoting *Donovan v. Carls Drug Co.*, 703 F.2d 650, 652 (2d Cir. 1983), overruled on other grounds by *McLaughlin v. Richland Shoe Co.*, 486 U.S. 128, 133-34 (1988)).

In general, the merits are promoted by allowing withdrawal or amendment where the fact deemed admitted or mistakenly admitted is both material and contested. *Mejia*, at * 4. Thus, the better interpretation is that courts reviewing the first factor should consider merely whether “the merits will be promoted, served, or aided.” *Id.*, at *9; *Mejia*, at *4.

In this case, Complainant admits that Respondent's "September 8, 2026, responses contain many express material contested admissions, including admissions concerning rate transmission, Net/Net pricing, payment and SWFT instructions, bill-of-lading instructions, booking confirmations, arrival-notice communications, payment flows, pay-direct transactions, and demurrage-offset communications. *See, e.g.* Sept 8 RFA Responses, RFAs 27, 30, 33-38, 43-61, 101-110." (Opposition at 2.) For this reason, I find that Complainant has established that the merits will be served if Respondent is allowed to withdraw its deemed admissions and serve amended responses.

The second requirement of Rule 36(b) is also met, because Complainant has not shown that granting the motion would prejudice it in maintaining or defending the action on the merits. Fed. R. Civ. P. 36(b). *Mejia*, at *5.

Complainant argues that allowing amendment at this late stage of the proceeding may require it to obtain additional evidence that would not be necessary if the deemed admissions were not permitted to be withdrawn. (Opposition at 5.) But Complainant would be free to move for an extension of the discovery deadlines in that event,² and the fact that additional discovery burdens may result is not generally recognized to constitute prejudice to parties involved in litigation. *Mejia*, at *5.

Accordingly, the record supports allowing Respondent to withdraw the deemed admissions and file amended responses.

Although Complainant suggests that the responses Respondent served September 8, 2026, should not be allowed as amended responses, it raises no persuasive argument supporting wholesale rejection of the response and has not provided a sufficient basis to reject any individual response. As a whole, I find Respondent's responses to be detailed and to demonstrate a good faith effort to comply with its discovery obligation. Nothing in this order prevents Complainant from challenging any individual response as insufficient in an appropriate motion after first attempting to resolve the dispute through good faith conferral. To the extent that Complainant challenges any response on the ground that the qualification in the response renders it non-responsive, Respondent is reminded that this issue was addressed with respect to response to RFA No. 12 in the Order on Motion to Compel served September 25, 2026. That order determined that the qualified response was evasive to the point of being non-responsive and granted Complainant's motion to compel on this basis. (Dkt. 58 at 36-37.) Respondent should therefore take care to ensure that any qualified response in the amended response does not render it non-responsive, and work with Complainant to resolve any objection on that basis.

V. Order

It is **ORDERED** that Respondent's deemed admissions to second requests for admission Nos. 25-110 are **WITHDRAWN**, it is further

² The parties have ongoing discovery disputes that make it likely that further extension of the current scheduling deadlines will be necessary. In fact, the parties were explicitly invited to seek extensions as necessary in the Order on Motion to Compel served September 25, 2025. (Dkt 58, at 39.)

ORDERED that Respondent is permitted to serve amended responses to Complainant's second requests for admission Nos. 25-110, it is further

ORDERED that Respondent's responses to Complainant's second requests for admission attached to the Notice of Proceeding filed September 14, 2026, and served September 8, 2026, are **ALLOWED**, it is further

ORDERED that the show cause order contained in the Order on Complainant's Second Motion to Compel Discovery served August 27, 2026, is **DISCHARGED**.

MARY A. HERVEY Digitally signed by MARY A.
HERVEY -S
-S Date: 2026.09.29 15:07:17 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge